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TMTB Morning Wrap: Blue Tsunami comes for AI DCs

TMTB 早间综述：蓝色海啸席卷 AI 数据中心

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Wild election night as QQQs whipsawed from +1% to -2% overnight before rebounding to +1% int he early morning and now settling in at +30bps (although given the vol will likely be stale by the time you read this).

疯狂的选举之夜，QQQ 隔夜剧烈震荡，从 +1% 震荡至 -2%，随后在早盘反弹至 +1%，目前稳定在 +30bps（不过鉴于波动性，等你读到这条时数据可能已经过时）。

Democrats had a great night. As the blue tsunami gathered steam last night and Republican Gov. Greg Abbott appeared headed for defeat in Texas, the All-In crew captured the mood of shell-shocked AI investors everywhere on last night's All-in pod:

民主党度过了美妙的一夜。随着昨晚"蓝色海啸"势头渐强，共和党州长格雷格·阿博特在德克萨斯州似乎面临败局，All-In 团队在昨晚的 All-in 播客中捕捉到了各地 AI 投资者惊魂未定的情绪：



Gerstner had some comments on what the Abbott loss means for the buildout, saying 10 - 15 GW expected in 2027 may not come online vs consensus of 43GW next year (h/t *Akh):*

格斯特纳就阿博特的败选对建设进展的影响发表了一些评论，称 2027 年预期的 10 - 15 GW 可能无法上线，而市场对明年的共识是 43GW（h/t Akh）：

"But now with this blue wave, I think it'll slow it down even more. So I think we could see at least 10 to 15 gigawatts of the expected build not come online, which, you know, that's why I think it's going to be really challenging for the AI infra trade."

"但现在随着这股蓝潮，我认为它会进一步放缓。所以我认为，预计建设的装机量中至少有 10 到 15 吉瓦将无法上线，你知道，这就是为什么我认为 AI 基础设施交易将面临巨大挑战。"

"We have the dollars to pay for it. But imagine what we're going to hear, Chamath, for the next two weeks out of the governors, out of Speaker Hakeem Jeffries or Leader Schumer. They ran on slowing down AI. That was their principal agenda."

"我们有资金支付。但想象一下，Chamath，未来两周我们会从各州州长、众议院议长哈基姆·杰弗里斯或舒默领袖那里听到什么。他们竞选时主张放缓 AI。那是他们的主要议程。"

So what does a blue wave and Gina Hinojosa win in Texas actually mean? There was already a pause in Texas (ERCOT stopped advancing new large load approvals in the summer) and tech DC regulation could tighten but a shutdown or genuine moratorium looks unlikely (Hinojosa faces major legislative opposition). Her platform asks for a more stringent set of rules for DCs, but not a complete shutdown:

那么，蓝潮和吉娜·伊诺霍萨在德克萨斯州的胜利究竟意味着什么？德克萨斯州已经出现了暂停（ERCOT 在夏季停止推进新的大型负荷审批），科技领域的 DC 监管可能会收紧，但关停或真正的暂停似乎不太可能（伊诺霍萨面临重大的立法反对）。她的政纲要求对 DC 实施更严格的一套规则，但并非完全关停：



tae kim
@firstadopter

Re: Texas governor election. Let's take a deep breath.

If companies ask for no subsidies, promise a ton of union jobs, and guarantee that water and electricity costs won't rise/plus add supply, data centers can be built under her governorship.

This is directly from Gina's

Re: 德克萨斯州州长选举。让我们深呼吸。

如果企业不要求补贴，承诺提供大量工会工作岗位，并保证水电成本不会上升/同时增加供应，那么在她的州长任期内，数据中心是可以建设的。

这直接来自 Gina 的

Hinojosa outlined her Texans First Data Center Priorities for the next legislative session, which Abbott could call today:

- **Requiring American union jobs** so operators hire skilled, licensed, union labor, and undoing the fast-track rollbacks that let corporations cut safety corners. When corners get cut on builds this size, workers die.
- **Giving Texans a seat at the table** to decide if and how data centers come to their communities.
- **Creating full transparency** by stopping data center companies from using NDAs.
- **Lowering costs for Texans** by ensuring data center companies prove households won't pay more for electricity or water, including the hidden costs passed through for grid upgrades, transmission, and new capacity.
- **Make data centers pay for themselves** by stopping subsidies. These data centers are owned by the richest men in the world; Texans shouldn't foot the bill.
- **Putting water and power for Texans first** by ensuring any water contract with data centers becomes unenforceable if it threatens a community's water supply.

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At the very least, the debate across the country likely shifts to a much more restrictive environment that likely constrains the supply curve.

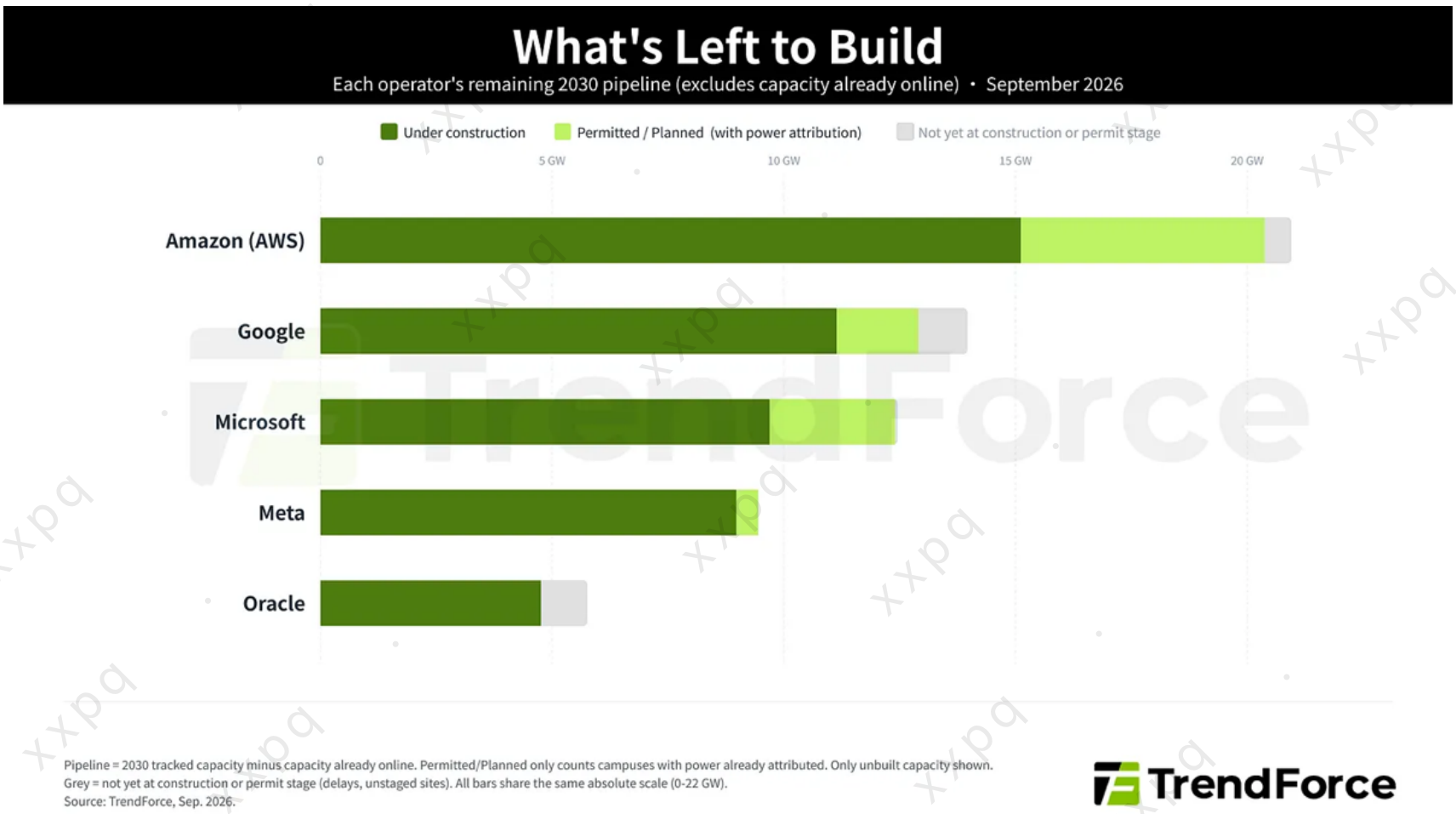
至少，全国范围内的辩论可能会转向一个限制性更强的环境，这很可能会限制供给曲线。

So who wins and loses in Tech?

那么科技领域谁赢谁输?

Investors are still figuring out, but hyperscalers are bid this morning (AMZN +3.8%, MSFT +2% GOOGL +2%) with the read through that they have the most existing capacity, tighter capacity = higher prices, and they're ones who will be able to more easily finance any buildout.

投资者仍在研判，但超大规模云服务商今早获买盘追捧（AMZN +3.8%，MSFT +2%，GOOGL +2%），市场解读认为它们现有算力最充足，算力越紧俏=价格越高，且它们更有能力轻松为任何扩建提供资金。



But it's not super clear cut either as hypers have a lot of exposure to the buildout and the labs and there are still a lot of questions around what a slower buildout/tighter compute means to **ANT/OpenAI**. The labs have secured cheapest compute, but do they get priority from hyperscalers? Do they raise prices if compute prices go up? How does it affect diffusion and OSS? Some questions us and investors will be pondering over the next few days.

但也并非绝对清晰，因为超大规模云服务商在扩建和实验室方面有大量敞口，且关于扩建放缓/算力收紧对 ANT/OpenAI 意味着什么，仍存在诸多疑问。实验室已锁定最便宜的算力，但它们能获得超大规模云服务商的优先级吗？如果算力价格上涨，它们会提价吗？这对扩散模型和开源软件有何影响？这些是我们和投资者未来几天将思考的问题。

The early consensus losers: **Semis (-1.5%)**. Broadly speaking, less buildout = less demand for chips although the debate is how much of this restrictive environment is reflected in multiples already; **SPCX -8%** given Elon had focused the buildout of DCs and Terafab in Texas although some will say this makes orbital compute more likely; **PLTR -5%** as investors brace for increased scrutiny of its government AI contracts, along with potential pressure on defense spending. Slower permitting generally bad for Miners and Neoclouds although someone like NBIS with more exposure to short term rental prices might benefit and it's more nuanced depending on which of these co's have contracted existing compute.

早期共识中的输家：半导体（-1.5%）。总体而言，建设减少 = 对芯片的需求减少，尽管争论在于这种受限环境在多大程度上已反映在估值倍数中；SPCX -8%，因为埃隆曾将数据中心和 Terafab 的建设集中在德克萨斯州，尽管有人会说这反而使轨道计算更有可能；PLTR -5%，因为投资者正为其政府 AI 合同面临更严格的审查做好准备，同时国防支出也可能面临压力。审批放缓总体上对矿企和新型云厂商不利，不过像 NBIS 这样更多受短期租赁价格影响的公司可能会受益，具体情况更为微妙，取决于这些公司中有多少已签约现有算力。

The broader question: do we get a continued rotation out of Tech into our sectors that have held up better over the last few weeks?

更广泛的问题是：资金是否会继续从科技板块轮动到过去几周表现更好的我们关注的板块?

In early price action so far, **Semis -1.5%** holding in better than most suspected last nightwith miners/neoclouds the biggest losers, **Internet +2%** led by the hyperscalers, **Software -50bps** as **DDOG -18%** guided Q4 below (**SNOW/MDB -5%** in sympathy).

在目前的早盘交易中，半导体下跌 1.5%，表现优于大多数人昨晚的预期，矿商/新云公司跌幅最大，互联网上涨 2%，由超大规模云服务商领涨，软件下跌 50 个基点，因 DDOG 第四季度指引低于预期（SNOW/MDB 受拖累下跌 5%）。

In earnings, **AMD -1%** on a non-clean print but de-risked '27; **ANET +6%** on a much better '27 guide; **BKNG +3%** on a better Q3 but lower Q4 guide; **DUOL +15%** on much better user numbers; and **ALAB -6%** on a print that missed bogeys.

在财报方面，AMD 下跌 1%，因财报不够理想但降低了 2027 年的风险；ANET 上涨 6%，因 2027 年指引好得多；BKNG 上涨 3%，因第三季度表现更好但第四季度指引较低；DUOL 上涨 15%，因用户数据好得多；ALAB 下跌 6%，因业绩未达预期。

Asia saw mixed price action overnight: **TPX** -0.89%, **NKY** -1.42%, **Hang Seng** +1.67%, **HSCEI** +1.44%, **SHCOMP** +2.16%, **Shenzhen** +3.7%, **Taiwan TAIEX** -0.83%, **Korea KOSPI** +0.62%

亚洲隔夜股价表现不一：TPX -0.89%，NKY -1.42%，恒生指数 +1.67%，HSCEI +1.44%，SHCOMP +2.16%，深圳 +3.7%，台湾 TAIEX -0.83%，韩国 KOSPI +0.62%

We'll hit Earnings recaps first **(AMD, ANET, ALAB, DUOL, BKNG)** then the usual

我们先来看财报回顾（AMD、ANET、ALAB、DUOL、BKNG），然后是常规内容

Lots to get to, so lets get to it...

要聊的很多，我们直接开始吧……

TMT Pre-mkt Movers/Shakers			
Winners		Losers	
DUOL	19.9%	DDOG	-17.6%
NVTS	10.9%	HUT	-13.2%
XYZ	9.9%	SWKS	-11.8%
FSLR	8.0%	FRSH	-9.4%
VNET	6.7%	CRWV	-8.5%
PLUG	6.4%	GLXY	-8.5%
CDW	6.0%	VST	-7.9%
BKNG	5.7%	SPCX	-7.5%
ANET	5.6%	GEV	-6.7%
BILI	5.5%	ALAB	-6.5%
RUN	5.5%	VRT	-6.5%
GDS	4.8%	IREN	-6.1%
FVRR	4.6%	ESTC	-6.0%
W	4.6%	NBIS	-6.0%
BABA	4.3%	DOCN	-5.5%
LOGI	3.9%	TSLA	-5.2%
AMZN	3.7%	PLTR	-5.0%
RKT	3.6%	SNOW	-4.8%
ENPH	3.6%	WULF	-4.7%

Futures	%
SP500	0.93%
Nasdaq	0.29%
Russell	1.57%
ARKK	-0.90%
FXI	3.22%
UST 2 year	-3.3bps
UST 10 year	-4.1bps
BTC	0.63%
Crude	-1.80%

Mega-Cap	%
AMZN	3.7%
MSFT	2.1%
AAPL	1.8%
GOOGL	0.9%
META	0.6%
NVDA	-1.1%
AVGO	-1.2%
TSLA	-5.2%
SPCX	-7.5%

AI Subsectors		TMT Subsectors	
DC Buildout	1.23%	Megacap	1.32%
AI Adopters	0.25%	Weak Balance Sheet	0.78%
Nuclear	-1.71%	GARP	0.71%
Optical	-2.02%	TMT Quality	0.60%
AI Tech Beneficiaries	-2.16%	China Sales Exposed	0.57%
Electric Grid Enablers	-2.37%	High Short Interest	0.25%
AMZN Trainium Infra	-2.56%	Non Profitable Tech	0.07%
Memory Exposed	-2.73%	Profitable Secular Growth	-0.68%
Broad AI Index	-2.86%	Strong Balance Sheet	-0.74%
Google AI Infra	-2.89%	Retail Favorite	-0.88%
Global Memory	-3.09%	Bitcoin Related	-0.94%
AI Software	-3.30%	HF VIP Long	-1.01%
AI Power	-4.59%	TMT Momentum Pair	-1.86%
Neoclouds/Miners	-5.93%	AI	-2.18%

TMT Sectors		Asia Overnight	
Internet	2.2%	SK Hynix	-0.1%
Hardware	-0.4%	Samsung	-0.7%
Software	-0.5%	TSMC	-1.5%
Semis	-1.3%	Softbank	-3.2%

EARNINGS

AMD - 1%: Not the cleanest print with better top line/ weaker GM but guided 2027 >80% as Server CPUs Double and Helios Ramps On Time, overwhleming PC Weakness

AMD - 1%：财报不算最漂亮，营收端表现更好/毛利率较弱，但指引显示 2027 年将>80%，因服务器 CPU 翻倍且 Helios 按计划放量，完全盖过了 PC 端的疲软

Summed up pretty well by *Mike:*

Mike 总结得挺好：



DC (+97% y/y, +27% q/q) drove the beat and is guided up ~50% q/q in 4Q as Helios ramps and DC AI overtakes server CPU, more than offsetting a >20% q/q drop in Client & Gaming that mirrors INTC. The bigger news was AMD's first company-level 2027 framework: revenue >80% (≥~$94B vs. Street ~$90B), server CPU ~2x (from >70%), DC AI growing faster than mgmt projected 90 days ago, DC >80% of sales and OpEx growing at less than half the rate of revenue, with demand still ahead of secured supply. Mgmt asked investors to treat these 2027 figures as "markers" rather than formal guidance. They sounded good on supply, but said '27 was driven by strong demand.

DC（同比+97%，环比+27%）推动了超预期表现，且四季度指引环比上调~50%，因 Helios 放量且 DC AI 超过服务器 CPU，足以抵消 Client & Gaming 环比超 20%的下滑（与 INTC 情况类似）。更重要的消息是 AMD 首次给出公司层面的 2027 年框架：收入增速>80%（≥约 940 亿美元，而华尔街预期为~$900 亿），服务器 CPU~2 倍（此前为>70%），DC AI 增速快于管理层 90 天前的预测，DC 占销售额>80%且 OpEx 增速不到收入增速的一半，同时需求仍领先于已确定的供应。管理层要求投资者将这些 2027 年数据视为"标记"而非正式指引。他们对供应情况听起来很有信心，但表示 27 年的增长是由强劲需求驱动的。

The CFO called 4Q's ~55% GM "a good benchmark" for 2027 (mgmt said GMs drifting here on Helios mix and HBM inflation), and investors wonder if that's more a ceiling than a floor. Taking "more than 80%" at its floor (revenue +80%, opex +40%, the cap of the CFO's "less than half" of revenue growth) at 55% GM, 2027 EPS is ~$16.8 by our math. The ~$19-21 bogeys need revenue up ~100-110% at that GM, which is where buyside is for top line.

CFO 将第四季度的 55% 毛利率称为 2027 年的“良好基准”（管理层称，受 Helios 组合和 HBM 涨价影响，毛利率将向此靠拢），投资者想知道这更像是一个上限而非下限。若以“超过 80%”为下限（营收 +80%，运营支出 +40%，即 CFO 所指的“不到营收增长的一半”的上限），在 55% 毛利率下，按我们的计算，2027 年每股收益为 16.8 美元。要实现 19-21 美元的目标，在该毛利率下营收需增长 100-110%，这也是买方对顶线的预期。

Overall, much better than feared and de-risks 2027 after concerns following the INTC print. Bulls continue to sit higher than $30 for ‘28 (street at $25) and say that deserves at least 25x = $750

总体而言，结果好于预期，且在 INTC 财报发布引发担忧后，降低了 2027 年的风险。多头继续将 2028 年的目标价定在 30 美元以上（市场一致预期为 25 美元），并表示这至少值 25 倍市盈率，即 750 美元。

Key Takeaways

- **Callback.** Post-call, mgmt stressed the 2027 server raise reflects demand, not a Client-to-server wafer shift (wafer starts take ~6 months to reach revenue), and that added 2027 supply came broadly across wafers, advanced packaging, OSAT capacity, memory and rack-level parts (switch trays, DRAM matched sets). AMD spent ~$600M of 3Q capex on backend packaging tools consigned to OSATs for dedicated AMD lines, and inventory skewed to Instinct (HBM, long lead times) will rise again in 4Q. For 1Q27, expect Client & Gaming down HSD-LDD% q/q, Embedded down seasonally and both server CPU and DC AI up; 2H27 PCs should beat 1H27 without a typical seasonal recovery given channel inventory, and AMD prefers partners such as AVGO over large networking M&A.

电话会后，管理层强调 2027 年服务器业务的上调反映的是需求，而非从客户端到服务器的晶圆转移（晶圆开工约需 6 个月才能转化为收入），且 2027 年新增的供应广泛覆盖晶圆、先进封装、OSAT 产能、内存以及机架级部件（交换托盘、DRAM 匹配套件）。AMD 在第三季度资本支出中投入约 6 亿美元，用于后端封装工具，这些工具已寄售给 OSAT，用于 AMD 专用产线；库存结构偏向 Instinct（HBM、长交货周期），预计第四季度将再次上升。对于 2027 年第一季度，预计客户端与游戏业务环比下降高个位数至低两位数百分比，嵌入式业务季节性下降，而服务器 CPU 和数据中心 AI 均将增长；鉴于渠道库存情况，2027 年下半年 PC 业务应优于上半年，且不会出现典型的季节性复苏；AMD 更倾向于与 AVGO 等合作伙伴合作，而非大型网络并购。

- **Server CPU.** Server revenue more than doubled y/y (cloud and enterprise both >2x), “significantly” beating the >80% 2H26 outlook from August, and 2027 server is now guided to ~2x (from >70%, a second straight raise), or ~$36-37B vs. Street ~$31B. Agents are the new driver (mgmt called them “the next killer app for CPUs in the cloud”), alongside head-node wins at several of the largest model developers and clouds; OpenAI chose Turin as host CPU for its first custom accelerator platforms, so AMD also wins in ASIC builds. Venice began revenue shipments with the strongest early demand of any EPYC generation (>240 platforms, +20% vs. Turin), the new Helion rack packs up to 144 Venice CPUs, and 2027 growth is “mostly in units and core counts, and less so in ASPs,” with demand above supply even at ~2x.

  服务器 CPU。服务器收入同比翻了一番以上（云和企业级均超过两倍），“显著”超出 8 月份对 2026 年下半年 >80% 的展望，且 2027 年服务器业务目前指引为 ~2x（此前为 >70%，为连续第二次上调），即 ~360-370 亿美元，而市场预期为 ~310 亿美元。智能体成为新的驱动力（管理层称其为“云中 CPU 的下一个杀手级应用”），同时 AMD 在多家最大的模型开发商和云厂商的头部节点竞争中获胜；OpenAI 选择 Turin 作为其首款定制加速器平台的主机 CPU，因此 AMD 也在 ASIC 构建中胜出。 Venice 已开始出货，其早期需求为 EPYC 各代中最强（超过 240 个平台，较 Turin 增长 20%以上），新款 Helion 机架最多可容纳 144 颗 Venice CPU，而 2027 年的增长“主要在于出货量和核心数量，而非 ASP”，即便在 ~2x 的价位，需求仍高于供应。

- **DC AI.** 3Q was the first revenue quarter for MI455X/Helios, with Anthropic, META, MSFT, OpenAI and ORCL running racks and DC AI est. at ~$3.5-3.6B (roughly in line with Street). 4Q is the big step-up as HPE, DELL, Lenovo and SMCI start shipping, with DC AI crossing over server CPU at “much higher” dollars (implied ~$6.8-7.0B, ~+90% q/q, vs. Street ~$6.2B). 2027 DC AI should “significantly more than double” and grow faster than mgmt projected 90 days ago, but the DC mix math implies ~$38-43B, near Street’s ~$41B, so the incremental 2027 upside is CPU-led; MI500 engagements with multiple frontier labs are tied to planned multi-GW deployments, with MI600 co-design underway.

DC AI。第三季度是 MI455X/Helios 的首个营收季度，Anthropic、META、MSFT、OpenAI 和 ORCL 正在运行机架，DC AI 估值约为 ~$35-36 亿美元（大致与市场预期一致）。第四季度将大幅跃升，HPE、DELL、Lenovo 和 SMCI 开始出货，DC AI 在“高得多”的金额上超过服务器 CPU（隐含 ~$68-70 亿美元，~环比增长 90%，而市场预期为 ~$62 亿美元）。2027 年 DC AI 应“显著翻倍以上”，且增长速度高于管理层 90 天前的预测，但 DC 组合的数学计算意味着 ~$380-430 亿美元，接近市场预期的 ~$410 亿美元，因此 2027 年的增量上行空间由 CPU 驱动；与多家前沿实验室的 MI500 合作与计划的多 GW 部署相关，MI600 联合设计正在进行中。

- **Margins.** GM of 55.9% (-30bps q/q, +190bps y/y) was in line with Street (~56.0%), and the ~55% 4Q guide (-90bps q/q) is in line to slightly below Street (~55.1-55.5%) as dilutive DC AI overtakes server CPU. Asked whether AMD can hold a 55% floor, mgmt gave no 2027 GM guide, calling 4Q a “good benchmark” and flagging quarterly swings on CPU/GPU mix, with server CPU, Embedded and partial sharing of HBM costs with customers as the offsets. DC segment OM reached 34% vs. 25% a year ago.

利润率。毛利率为 55.9%（环比下降 30 个基点，同比上升 190 个基点），与市场预期（约 56.0%）一致；而 ~55% 的第四季度指引（环比下降 90 个基点）与市场预期（约 55.1-55.5%）一致至略低于预期，因为稀释性的数据中心 AI 业务超过了服务器 CPU。当被问及 AMD 能否守住 55% 的底线时，管理层未给出 2027 年毛利率指引，称第四季度是一个“良好的基准”，并指出 CPU/GPU 组合会导致季度波动，而服务器 CPU、嵌入式业务以及与客户部分分摊 HBM 成本则是对冲因素。数据中心业务板块营业利润率达到 34%，而一年前为 25%。

- **OpEx.** OpEx of $3.56B (+29% y/y) came in below the ~$3.65B guide and Street (~$3.65-3.81B), and the ~$3.75B 4Q guide sits ~$0.25B below Street, lifting implied 4Q OM to ~33% vs. Street ~30-31%. For 2027, mgmt expects OpEx to grow at less than half the rate of revenue (i.e., <~40%), a new framework that supports the ~8-10% lift in 2027 EPS estimates (median ~$17.6 vs. pre-print Street ~$16.0-16.3).

运营支出。运营支出为 35.6 亿美元（同比增长 29%），低于 ~36.5 亿美元的指引和华尔街（约 35.6-38.1 亿美元），而 ~37.5 亿美元的第四季度指引比华尔街低 ~2.5 亿美元，将隐含的第四季度营业利润率推升至 ~33%，而华尔街预期为 ~30-31%。对于 2027 年，管理层预计运营支出增速将不到营收增速的一半（即 <~40%），这一新框架支持将 2027 年每股收益预期上调 ~8-10%（中位数 ~17.6，而财报发布前华尔街预期为 ~16.0-16.3）。

- **Supply.** Mgmt says it has secured the wafers, substrates, advanced packaging and memory for >80% growth, yet “demand is higher than supply” in CPUs and GPUs, so added supply is upside (in August mgmt said 2027 server supply should be better than 2026; supply has improved, but demand has outrun it). AMD is investing alongside suppliers, including capex for backend capacity dedicated to DC, and calls its supply chain “quite fungible” between PC and DC, so capacity can follow demand as PCs weaken. Inventory rose ~$3B q/q to $11.5B (days ~175 vs. ~151) ahead of the 4Q and 2027 ramps.

供应。管理层表示已为超过 80%的增长锁定了晶圆、基板、先进封装和内存，但 CPU 和 GPU“需求高于供应”，因此新增供应是上行空间（8 月管理层曾表示 2027 年服务器供应应好于 2026 年；供应已改善，但需求已超过供应）。AMD 正与供应商共同投资，包括用于数据中心的后端产能资本支出，并称其供应链在 PC 和数据中心之间“具有相当的可替代性”，因此随着 PC 需求走弱，产能可以跟随需求转移。库存环比增加~$3B 至 115 亿美元（天数~175，对比~151），为第四季度和 2027 年的爬坡做准备。

- **PCs.** Client of $2.95B (+7% y/y, -4% q/q) missed Street (~$3.05B) as sell-through slowed late in the quarter on memory and component costs, and AMD is aligning sell-in with sell-through to keep the channel clean. Client & Gaming is guided down >20% q/q in 4Q (Client ~$2.3-2.4B vs. Street ~$2.8-3.0B), echoing INTC, and mgmt now plans for 2027 PC units to fall DD% (a step down from August’s plan for “a softer PC market” in 2H), with AMD outperforming via commercial (8 of the 10 largest banks use Ryzen PRO), premium consumer and desktop channel while staying disciplined at the volatile low end. Gaming ($773M, -40% y/y on the console cycle) beat Street (~$670M), but segment OM fell to 15% from 21%; with Client heading to ~10% of 2027 revenue, the PC drag is increasingly immaterial.

PC。客户端业务收入为 29.5 亿美元（同比增长 7%，环比下降 4%），低于市场预期（约 30.5 亿美元），因季度末受内存和组件成本影响，销量放缓，AMD 正在调整出货量以匹配销量，保持渠道库存健康。客户端与游戏业务第四季度预计环比下降超过 20%（客户端为 23-24 亿美元，市场预期为 28-30 亿美元），这与 INTC 的表现一致，管理层目前预计 2027 年 PC 出货量将下降 DD%（较 8 月份计划中“下半年 PC 市场疲软”的预期进一步下调），同时 AMD 将通过商用（10 家最大银行中有 8 家使用 Ryzen PRO）、高端消费级和桌面渠道实现超越同行的表现，并在波动剧烈的低端市场保持克制。 游戏业务（7.73 亿美元，受主机周期影响同比下降 40%）高于市场预期（约 6.7 亿美元），但该板块营业利润率从 21% 下降至 15%；随着客户端业务在 2027 年收入中占比达到 10%，PC 业务带来的拖累已越来越微不足道。

- **Embedded.** Embedded of $1.11B (+29% y/y, +14% q/q) beat Street (~$1.09B) in a fourth straight quarter of accelerating growth, led by A&D, auto, comms and industrial, with DC build-outs pulling embedded CPUs and adaptive SoCs into control-plane and optical networking. 4Q is guided up DD% q/q (~$1.22-1.25B vs. Street ~$1.16-1.18B), 2027 growth should accelerate after a seasonal 1Q dip, and >$18B of 2026 design wins (a third straight record) support “strong double-digit” annual growth at a GM-accretive 41% segment OM.

嵌入式。嵌入式业务收入 11.1 亿美元（同比增长 29%，环比增长 14%）超出市场预期（约 10.9 亿美元），这是连续第四个季度增长加速，主要由航空航天与国防、汽车、通信和工业领域推动，数据中心建设将嵌入式 CPU 和自适应 SoC 拉入控制平面和光网络。第四季度指引环比增长 DD%（约 12.2-12.5 亿美元，而市场预期为 11.6-11.8 亿美元），在经历季节性第一季度下滑后，2027 年增长应会加速，超过 180 亿美元的 2026 年设计中标（连续第三年创纪录）将支持“强劲的双位数”年度增长，且该业务板块营业利润率为 41%，能提升整体毛利率。

- **Competition.** On ASICs vs. AMD, mgmt framed frontier-lab choices as TCO-driven, citing Helios performance, GPU fungibility across workloads and MI500/MI600 co-design, and claimed MI455X leads in compute FLOPS, memory capacity and scale-out bandwidth, with Helios adding larger leads in memory and scale-up bandwidth. ROCm 10 adds agentic tuning (ROCm.AI), and an Anthropic engineer used Claude to bring up its latest model on MI355X racks over a single weekend, a useful datapoint for the CUDA-gap debate. In servers, mgmt says Venice beats any x86 or Arm CPU on perf/watt, perf/core and perf/$.
- **Financing.** Asked whether anchor customers have the financing, land, power and shells for ~3GW of 2027 deployments, mgmt said it knows which data centers the

GPUs are going to and that AMD is “selectively investing” with lead partners in data-center infrastructure. AMD’s own cash conversion is stretched: FCF fell to $554M (4% margin vs. 14% last q, 17% a year ago) on inventory, receivables and $648M of capex, AMD issued $4.75B of notes in August (debt $7.1B, cash and ST investments $15.8B), and it skipped buybacks for a second straight quarter. The 2027 Instinct ramp still leans on a handful of frontier labs and clouds at the center of the AI-financing debate, though OEM channels and enterprise-specific GPUs are broadening the base.

融资。当被问及锚定客户是否具备为 2027 年约 1001#3GW 部署所需的资金、土地、电力和机壳时，管理层表示它知道 GPU 将进入哪些数据中心，并且 AMD 正在与数据中心基础设施领域的领先合作伙伴进行“选择性投资”。AMD 自身的现金转换也面临压力：受库存、应收账款和 6.48 亿美元资本支出的影响，自由现金流降至 5.54 亿美元（利润率为 4%，上一季度为 14%，一年前为 17%）；AMD 于 8 月发行了 47.5 亿美元票据（债务为 71 亿美元，现金和短期投资为 158 亿美元），并且已连续第二个季度暂停回购。2027 年 Instinct 的爬坡仍依赖于少数处于 AI 融资辩论前沿的实验室和云服务商，尽管 OEM 渠道和企业专用 GPU 正在扩大客户基础。

- **Warrants.** AMD began recognizing customer-warrant accounting as MI450 shipped: revenue is reported net of the grant-date warrant value, and GAAP EPS of $1.46 absorbed a $1.1B ($0.66/sh) non-cash fair-value charge that will rise with the stock price and vesting probability. Shares dilute only once shipment and commercial conditions are met; the ~1.67B 4Q share guide excludes warrants, and mgmt will guide the impact during 2027, with the two 6GW-scale agreements covering up to ~320M shares (~20% of the count) over their life.

权证。随着 MI450 的出货，AMD 开始确认客户权证会计处理：收入按授予日的权证价值净额报告，GAAP 每股收益为 1.46 美元，吸收了 11 亿美元（每股 0.66 美元）的非现金公允价值费用，该费用将随股价和归属概率上升。股份仅在出货和商业条件满足后才会稀释；~1.67B 的第四季度股份指引不包括权证，管理层将在 2027 年期间指引其影响，这两项 6GW 规模的协议在其有效期内最多涵盖 ~320M 股（约占股份数的 20%）。

Bull vs. Bear Debate 多头与空头之争

Bulls see AMD as the only merchant vendor with leadership in both compute franchises AI is expanding: server CPUs, where agents are turning a mature market into a ~$220B (2030) TAM growing ~50% a year, and AI accelerators, a ~$1.4T TAM

by 2030 in which AMD holds multi-GW, multi-generation commitments from OpenAI, META and Anthropic plus MSFT and ORCL. The long-term drivers are agentic CPU demand (agents run continuously and in parallel, so CPU demand scales with AI usage rather than training budgets), the host CPU that ships with every accelerator including custom ASICs, and Instinct share gains as frontier labs push for a credible second source to NVDA on TCO and negotiating leverage.
Bulls see durable advantages in a chiplet architecture that needs fewer leading-edge wafers and lets AMD move silicon between PC and DC, first-mover position on TSMC N2 with Venice, an open rack (OCP) and software stack that hyperscalers prefer to a proprietary one, rack-scale design capability from ZT Systems, and an INTC that remains supply-constrained and behind on roadmap.

多头看到了芯粒架构中的持久优势：该架构需要更少的先进晶圆，并允许 AMD 在 PC 和 DC 之间转移硅片；凭借 Venice 在台积电 N2 上取得的先发优势；超大规模客户更青睐开放机架（OCP）和软件栈而非专有方案；来自 ZT Systems 的机架级设计能力；以及英特尔（INTC）依然受制于产能且在路线图上落后。

This quarter handed bulls most of what they wanted. Helios shipped for revenue on schedule at five lead customers already running models on it, undercutting the bear case that the rack-scale ramp would slip, and DC AI should overtake server CPU in 4Q at roughly $7B. Server CPU was raised for a second straight quarter on broad-based demand that still exceeds supply, head-node wins let AMD participate even when customers build their own silicon, and the OpEx framework turns >80% revenue growth into >100% EPS growth. From here bulls see three upward levers: incremental supply (each extra GW is $15-20B of revenue, ~15-20% of 2027 sales), MI500 multi-GW deals that would extend visibility through 2028, and a re-rating as the market rolls to CY28, with the stock at ~19x CY28 EPS estimates (~$25) that still grow >40%. Mgmt also has a habit of walking numbers up (server went from >70% to ~2x in 90 days), and it is only November.

本季度给了多头他们想要的大部分东西。Helios 按期出货并实现营收，已有五家主要客户在其上运行模型，这打破了关于机架级爬坡会延期的看跌逻辑；此外，DC AI 预计将在四季度以约 70 亿美元的规模超越服务器 CPU。 服务器 CPU 在广泛需求推动下连续第二个季度上调，且需求仍超过供给；头节点竞标获胜使 AMD 即使在客户自研芯片时也能参与其中；运营支出框架将>80%的营收增长转化为>100%的 EPS 增长。从此处看，多头看到三大上行杠杆：增量供给（每增加 1GW 带来 150-200 亿美元营收，~占 2027 年销售额的 15-20%），MI500 的多 GW 级交易将把可见性延伸至 2028 年，以及随着市场滚动至 28 自然年而实现的估值重评，按~19 倍 28 自然年 EPS 预估值（约 25 美元）计算，该股仍有>40%的增长。管理层还有逐步上调数据的习惯（服务器在 90 天内从>70%上调至~2 倍），而现在才 11 月。

Bears see a supply-constrained boom whose length depends on a handful of frontier labs and clouds with heavy external financing needs, sold on second-source economics. AMD's AI GPUs carry structurally lower GM than NVDA's, its HBM-heavy designs are more exposed to memory inflation, and it has needed equity sweeteners to win share: warrants for up to ~160M shares each to two 6GW customers (up to ~20% dilution over the life of the deals), and now "selective" investments with lead partners in data-center infrastructure, which bears read as the start of vendor financing. Competition intensifies in 2027-28 from NVDA's annual cadence (Vera Rubin ramping now, Rubin Ultra next), its own Vera CPU and ecosystem investments; from custom ASICs (AVGO, MRVL, Google TPU, Amazon Trainium, META MTIA, OpenAI's own chip) competing for the same lab budgets; and from Arm server CPUs (Graviton, Axion, Cobalt, Vera) and INTC's 18A roadmap in AMD's core CPU franchise.

看空者认为这是一场供应受限的繁荣，其持续时间取决于少数几家需要大量外部融资的前沿实验室和云服务商，它们被第二来源的经济学所吸引。AMD 的 AI GPU 在结构上毛利率低于英伟达，其重度依赖 HBM 的设计更容易受到存储器通胀的影响，并且它需要股权激励来赢得份额：向两家 6GW 客户各提供高达 ~1.6 亿股的认股权证（在交易期限内可能导致高达 ~20% 的摊薄），以及现在与数据中心基础设施领域的牵头合作伙伴进行"选择性"投资，看空者将其解读为厂商融资的开端。 2027-28 年竞争将加剧，来自 NVDA 的年度节奏（Vera Rubin 正在爬坡，接下来是 Rubin Ultra）、其自有的 Vera CPU 和生态系统投资；来自争夺相同实验室预算的定制 ASIC（AVGO、MRVL、Google TPU、Amazon Trainium、META MTIA、OpenAI 自研芯片）；以及来自 Arm 服务器 CPU（Graviton、Axion、Cobalt、Vera）和 INTC 的 18A 路线图在 AMD 核心 CPU 业务领域的竞争。

Bears also argue part of the server CPU surge is a shortage windfall, with INTC capacity-constrained and buyers taking whatever x86 supply they can find, which could normalize in 2028 as INTC supply returns and the agentic build-out digests.

空头还认为，服务器 CPU 飙升的部分原因是短缺带来的意外之财，INTC 产能受限，买家只能找到什么 x86 供应就买什么，随着 INTC 供应恢复以及智能体建设的消化，这种情况可能在 2028 年恢复正常。

Bears think several bull assumptions are too generous: that each incremental GW converts at $15-20B of revenue with stable margins while HBM and component costs keep rising, that frontier labs can fund multi-GW MI500 commitments if October's AI-financing stress (the CRWV bond sell-off) persists, and that a ~2x server year is sustainable rather than a pull-forward. This quarter gave them material: GM slipped and is guided down another 90bps with no committed floor, some 2027 models already sit near ~54%, FCF collapsed to a 4% margin, AMD raised $4.75B of debt and skipped buybacks, warrant charges began with dilution guidance pushed into 2027, and the implied 2027 DC AI number was roughly what Street already modeled.

空头认为几个看多假设过于乐观：即每新增 1 GW 的产能能以 150-200 亿美元的收入转化，且利润率保持稳定，而 HBM 和组件成本却在持续上涨；若 10 月的 AI 融资压力（CRWV 债券抛售）持续，前沿实验室仍能为多 GW 的 MI500 承诺提供资金；以及 ~2x 的服务器年份是可持续的，而非需求前置。本季度为他们提供了素材：毛利率下滑，且指引再降 90 个基点，无承诺的底线；部分 2027 年型号已接近 ~54%；自由现金流利润率崩塌至 4%；AMD 举债 47.5 亿美元并跳过回购；认股权证费用开始计提，摊薄指引被推迟至 2027 年；隐含的 2027 年 DC AI 数据大致与华尔街已建模的水平相当。

Estimates could compress if Helios yields or second-tier substrate and packaging suppliers slow the ramp (some believe a slice of 2027 advanced-packaging capacity has already shifted from GPUs to Venice, a possible hedge on Helios timing), if customer data-center readiness slips, or if the Client decline runs through 2027.

如果 Helios 延迟交付，或者二线基板和封装供应商放缓产能爬坡（有人认为 2027 年先进封装产能的一部分已从 GPU 转向 Venice，这可能是对 Helios 时间安排的对冲），如果客户数据中心准备进度滞后，或者如果客户端业务下滑持续到 2027 年，预期可能会被压缩。

The multiple could also keep compressing toward large-cap AI peers, as in October when the stock fell ~24% in a month on INTC's guide-down and AI-financing jitters

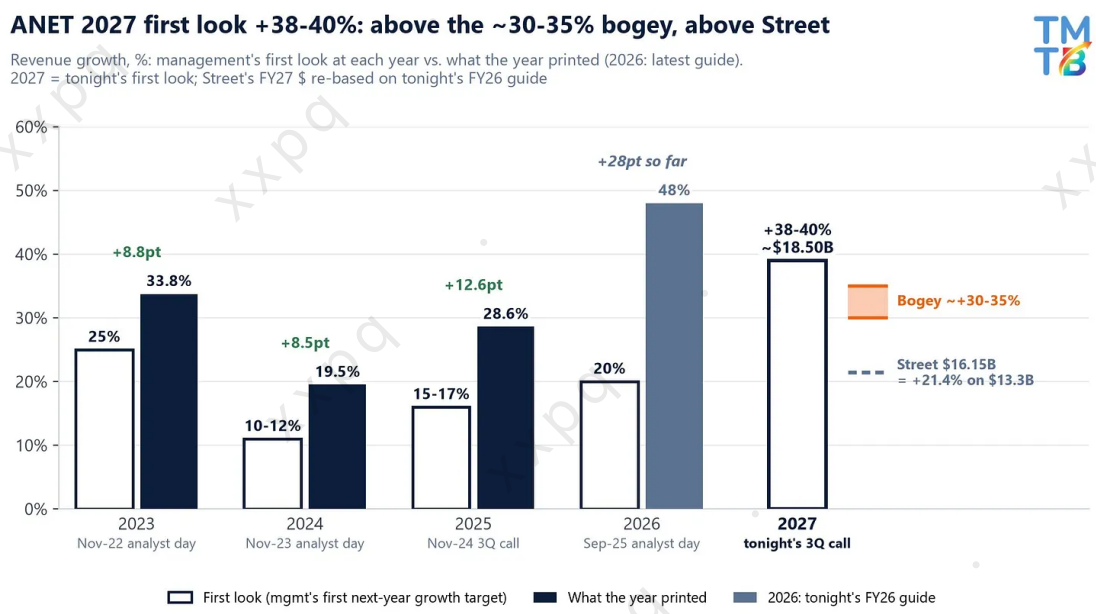
估值倍数也可能继续向大型 AI 同业压缩，就像 10 月份那样，当时由于英特尔的业绩指引下调和 AI 融资担忧，该股在一个月内下跌了 ~24%

ANET +6%: Another beat and raise but first FY27 Guide of +38-40% Blows Past the ~30% Bogey, With AI Fabrics Doubling to ~$7B

ANET +6%：再次超越预期并上调指引，但首个 FY27 指引 +38-40% 大幅超越 ~30% 的目标，AI Fabric 业务翻倍达到 ~$7B

Crowded long and came out with a clean beat and raise vs. bogeys, but the highlight was the first look at FY27, which had even the bigger bulls surprised. Buyside hoped ANET's usually conservative initial outlook would be ~30%+ and got 38-40%, with AI fabrics doubling to ~$7B, campus +60% to ~$2B and ~49% OM, or ~$5.90-6.00 of EPS implied vs. Street ~$5.25. This is a co that has typically outperformed their initial guide by ~2x the growth over the last few years:

拥挤的多头仓位，业绩和上调指引均优于预期，亮点是首次公布 FY27 展望，连最乐观的多头都感到意外。买方原本希望 ANET 一向保守的初始展望能达到 ~30%+，结果得到 38-40%，其中 AI 网络架构收入翻倍至 ~$7B，园区业务增长 60% 至 ~$2B，营业利润率 ~49%，隐含 EPS 为 ~$5.90-6.00，而市场预期为 ~$5.25。这家公司过去几年通常能以初始指引增速的 ~2x 超额表现：



Mgmt also sounded positive on supply. Bulls will say this co can grow at least 50%+ next year and 30% + in CY28 which gets you to EPS of $8.50+ at the low end. Throw 35x on there and you get $300. The pushback: deferred revenue stalled for the first

time in roughly three years (CFO said deferred had largest churn in and out but still remained flat), FCF missed on an inventory build, scale-up stays a 2028 story, and mgmt told investors not to read conservatism into the guide.

Details

Q3 revenue $3.66B, +58.5% y/y (last q +37.7% y/y) vs. Street $3.33B, +~44% and a $3.43-3.48B buyside bogey; EPS $1.20 vs. Street $1.08;

Q4 guide $3.9-4.0B vs. Street ~$3.6B;

FY27 outlook +38-40% to ~$18.5B vs. Street ~$16.5B

Key Takeaways

- **Guide.** FY27 a lot better: +38-40% to ~$18.5B vs. Street ~$16.5B, +~30%, and ~$1.1B above the top of buyside bogeys, which were anchored on ANET's usually conservative initial outlook (buyside hoped for ~30%+; the most bullish whispers ran 35-40%). A year ago the initial FY26 outlook was ~$10.65B (+~20%); FY26 now tracks $13.35B (+48%) after the fourth raise this year, and ANET has beaten every initial annual outlook it has given since FY21, by double digits on average. At ~49% OM (vs. Street ~48.7%) and a ~21% tax rate, the guide works out to ~$5.90-6.00 of EPS vs. Street ~$5.25. What was different this time: mgmt explicitly discouraged reading conservatism into the numbers, and the CFO said a lot of thought went into a guide "this strong this early."

- **Callback.** On the post-print callback, mgmt mostly defended the FY27 setup rather than adding to it. (1) Pricing isn't much of a FY27 revenue lever, but price increases lock in the 62% low end of the GM range, with anything above it dependent on which cost and price vintages flow out of product deferred. (2) The >10GW counts new and existing capacity (scale-across into existing data centers qualifies), so it is not a count of newly lit sites. (3) Mgmt conceded EOS's full value won't show up in scale-up, split that market into proprietary, white-box and value-added genres, and wouldn't size them. (4) ANET has walked away from neocloud deals on credit quality, and some neoclouds prepay 50-100% of invoices or accept shorter terms; no exposure figure until year-end. (5) On the ~11% core math, the CFO said FY26 isn't finished, targets get finalized in February and ANET only guides what it has optionality on.
  (6) Purchase commitments will be higher again after Q4, ~80% short-term, with component visibility into 4Q27. The new ~$220B 2030 TAM (~24% CAGR,

roughly double the ~$105B framed previously) is a market rate ANET expects to outgrow.

(6) 采购承诺将在 Q4 后再次增加，~80% 为短期，对组件的可见性延伸至 4Q27。新的 ~$220B 2030 年 TAM（约 24% 的复合年增长率，大约是此前 ~$105B 框架的两倍）是 ANET 预期其增速将超过的市场增速。

(7) Mgmt sees nothing in the Marvell-Lumentum deal that changes its optics sourcing.

(7) 管理层认为 Marvell-Lumentum 交易中没有任何内容会改变其光器件采购策略。

- **AI.** AI fabrics should double from the $3.5B FY26 target (held, not raised, since mgmt only counts actuals at year-end) to ~$7B in FY27, the fastest-growing piece of the guide. The new framing is >10GW of deployments across 10+ accelerator types by YE27 and 100+ Etherlink customers, vs. 4-5 customers on ~50-100K NVDA GPUs when the cycle started. Scale-across was ~30% of FY26 AI and should be at least a third in FY27, probably higher, with scale-out still the larger piece; the 7800 AI spine takes most of the dollars at large customers, while the 7280 wins more multi-site and colo footprints. Mgmt said the ~$7B comes from existing customers expanding, new logos and more content per deployment, helped by non-NVDA accelerators (MSFT Maia, Cerebras) where ANET now gets involved earlier in system design.
- **Core business.** The less-discussed swing factor: the AI and campus targets imply everything else (general-purpose DC/front-end, routing, services) grows only ~11% in FY27 after ~28-30% this year. Mgmt said every segment will grow double digits and framed it as a cycle, with customers prioritizing AI back-end today and front-end catching up later. That is a turn from earlier this year, when investors were asking why front-end was flat; this bucket is now the most obvious source of upside to the guide, though mgmt would not put a number on it.

  核心业务。较少被讨论的变数：AI 和校园网络的目标意味着其他所有业务（通用数据中心/前端、路由、服务）在 FY27 仅增长 ~11%，而在今年增长 ~28-30%。管理层表示每个细分领域都将实现两位数增长，并将其描述为一个周期，客户目前优先考虑 AI 后端，前端随后会迎头赶上。这与今年早些时候的情况有所转变，当时投资者曾质疑前端为何持平；尽管管理层未给出具体数字，但这部分目前显然是超出指引的最明显来源。

- **Campus.** Guided +60% to ~$2B in FY27 off the $1.25B FY26 target, far faster

than the market, on a mix of new logos and existing customers. The incremental driver is security: mgmt tied share gains to the "Glasswing and Mythos effect," as frontier models find vulnerabilities faster and force constant patching, which favors a single-OS, hitless-upgrade architecture (ANET cites 87 network OS CVEs since 2019 vs. 634-848 at two large peers). Mgmt sees a multi-year cycle given long campus refresh cycles, and AVA (agentic NetOps) is in alpha with pricing still being worked out. Read-across is negative for incumbents running multiple NOS code bases, with CSCO the implicit target.

- **Deferred.** Total deferred was flat q/q at $6.84B (-$26M, -0.4%; +46% y/y) after +11% q/q last quarter, with product deferred down $86M, so implied bookings (revenue plus the change in deferred) slipped ~2% q/q. It is the first sequential decline in roughly three years. Mgmt said Q3 saw the largest inflows and releases to date and won't guide deferred, but committed that YE26 deferred will exceed FY25's $5.37B. That bar still allows up to ~$1.5B of Q4 drawdown, so it's softer than it sounds; the same implied-bookings dip showed up in 3Q25 ahead of a +48% FY26.

递延。递延总额环比持平，为 68.4 亿美元（-2600 万美元，-0.4%；同比增长 46%），上季度为环比增长 11%，其中产品递延减少 8600 万美元，因此隐含预订额（收入加上递延的变化）环比下滑约 2%。这是大约三年来的首次环比下降。管理层表示，第三季度出现了迄今为止最大的流入和释放，且不会对递延提供指引，但承诺 2026 财年末的递延将超过 2025 财年的 53.7 亿美元。这一目标仍允许第四季度有多达 15 亿美元的减少，因此实际情况比听起来要弱；同样的隐含预订额下降也出现在 2025 财年第三季度，随后 2026 财年实现了 48% 的增长。

- **Supply.** Six months ago supply was the bear case; now it underpins the guide. Purchase commitments rose to $11.4B (+$1.7B q/q, ~2.4x y/y), ~80% due within 12 months and now including a multi-year memory agreement, and will rise again in Q4; inventory jumped to $3.2B from $2.5B. Inventory plus near-term commitments (>$12B) compares with ~$6.6-7.1B of COGS implied by the FY27 guide, which is why bulls argue supply supports growth well above 40%. Mgmt has "very high confidence" in supply across silicon, memory and PCBs, though not every 2027 order is placed yet, and lead times run longer on AI/hyperscale products than enterprise.
- **Margins.** GM of 64.0% beat Street 62.7% and the 63.0-63.5% bogey on product and customer mix, with supply-chain efficiency partly offsetting product cost inflation (-120bps y/y, +60bps q/q). OM of 49.1% dipped 80bps q/q as R&D jumped 47% to $408.5M (11.2% of revenue) on a heavy hyperscaler prototype bill, liquid cooling and high-radix switching. Mgmt held its 9-11% R&D framework and

guided FY27 OM to ~49% (vs. Street ~48.7%) with GM at 62-64%; the risk is that a heavier AI fabric and hyperscaler mix pulls toward the lower half of that range.

- **Customers.** MSFT and META remain >10% customers, and mgmt still expects at least one, maybe two more in 2026 ("at least three and maybe four" in total), depending on how much ships by Dec 31. That language is unchanged from last quarter, so the third 10% customer is taking longer than hoped, partly because the existing base keeps growing. International fell to 18.6% of revenue from 23% on a geographic mix shift at large global customers.

  客户。MSFT 和 META 仍是占比超过 10% 的客户，管理层仍预计 2026 年至少再增加一家，可能两家（总共"至少三家，可能四家"），具体取决于截至 12 月 31 日的出货量。这一表述与上季度相比未变，因此第三家占比 10% 的客户落地时间比预期更长，部分原因是现有客户群持续增长。受大型全球客户的地域组合变化影响，国际业务收入占比从 23% 降至 18.6%。

- **Scale-up.** Timing is unchanged: ESUN rack-scale designs (SU-144, up to 144 accelerators per rack and 1,024 across racks), co-designed with Arm, MSFT Maia, AMD Helios, Qualcomm and META MTIA, go to trials in 2027 and production in 2028, with nothing material in the FY27 guide. Mgmt was candid that scale-up plays less to ANET's software edge, and the fulfillment model (whole rack vs. switch through manufacturing partners) is still being worked out across three designs. Mgmt sees no change to the 62-64% GM range for SU-144.

  扩展。时间表未变：ESUN 机架级设计（SU-144，单机架最多 144 个加速器，跨机架 1,024 个），与 Arm、MSFT Maia、AMD Helios、Qualcomm 和 META MTIA 共同设计，将于 2027 年进入试用，2028 年投产，2027 财年指引中无实质性内容。管理层坦承，扩展对 ANET 的软件优势发挥较小，交付模式（整机架与通过制造合作伙伴提供交换机）仍在三种设计中敲定。管理层认为 SU-144 的 62-64% 毛利率区间无变化。

- **Optics.** Mgmt stays in the pluggable camp ("copper when you can and optics if you must"), backing LPO and XPO (supported by 150+ vendors) plus an open, socketed CPO it now expects in 2028-30; it won't build proprietary CPO. Last quarter's language was some CPO in 2028-29, so the timeline nudged out, an incremental positive for the pluggable optics supply chain.

Bull vs. Bear Case

The bull thesis is that ANET has become the vendor-neutral standard for AI networking just as the network turns into the bottleneck on XPU utilization and token economics. AI is moving from centralized training on NVDA-only clusters to distributed,

multi-tenant inference across many accelerators (10+ types by YE27) and many sites, which rewards one OS that runs scale-out, scale-across and eventually scale-up with deep telemetry, hitless upgrades and routing scale. That plays to ANET's strengths against NVDA's vertically integrated stack and against white box, and the numbers show it: AI fabrics are guided to double to ~$7B in FY27, the AI customer count is past 100, and scale-across, a hybrid of DC switching and service-provider routing where few vendors compete in both, heads toward a third or more of AI revenue against a $15-20B 2030 TAM.

Bulls also see a second engine the market underrates. Campus is compounding at ~60% as AI-discovered vulnerabilities turn network security into a refresh catalyst that rewards a single code base with the lowest CVE count among major vendors, and enterprise wins are spreading across healthcare, hospitality and Asian web-scale accounts. Around both sits a ~$220B+ 2030 TAM (roughly double what mgmt framed previously), ~49% OMs that held through cost inflation and a record R&D quarter, ~$14B of net cash, and a supply chain that went from constraint to competitive advantage while peers still scramble for chips and memory.

This quarter gives bulls most of what they wanted. Growth accelerated to 58.5% from 37.7%, Q4 is guided +59%, and the FY27 outlook landed well above bogeys even though ANET usually sets a low bar: it has beaten every initial annual outlook since FY21, and in each of the last two years it roughly doubled the initial growth guide. Inventory plus near-term purchase commitments (>$12B) sit against ~$7B of implied FY27 COGS, and the targets imply only ~11% growth outside AI and campus even as mgmt says front-end will catch up after the current back-end wave. Estimates can rise from (1) core growth in the high teens rather than ~11%, (2) AI fabric upside as scale-across mix rises and a third and fourth 10% customer ramp, and (3) scale-up adding a third leg in 2028.

With the stock down ~18% in the month into the print on AI-capex funding fears and multiple compression across AI hardware, bulls argue a ~49% OM business compounding at 30%+ should re-rate toward its historical multiple as estimates move up. Bulls believe ANET can grow ~50%+ in CY27 to ~$20B, an ~8%+ beat to the guide that is still below its usual margin of outperformance, which implies $8.50+ of EPS.

受 AI 资本支出资金担忧及 AI 硬件板块估值倍数压缩影响，该股在财报发布前一个月下跌 ~18%，多头认为这家 ~49% 营业利润率的公司以 30% 以上的复合增长率增长，随着预期上调，其估值应向历史倍数靠拢。多头相信 ANET 在 2027 财年可实现 ~50% 以上的增长，达到 ~200 亿美元，即超出指引 ~8% 以上，而该指引仍低于其通常的超预期幅度，这意味着每股收益可达 8.50 美元以上。

The bear thesis is that ANET is a premium-multiple derivative of hyperscaler AI capex at the moment the funding of that capex has become the market's central question. Two customers (MSFT and META) still exceed 10% of revenue, and mgmt has been guiding to "one, maybe two" more 10% customers for several quarters, while META just announced plans to raise up to $95B of equity for its AI build, a sign the spend is shifting from cash-flow funded to capital-markets funded. ANET's revenue has tracked MSFT's capex almost one-for-one (r^2 ~0.95 since 1Q23), and on Street MSFT capex that relationship points to only ~$12.5B of 2027 revenue, far below the guide. Neoclouds are no cushion either: ANET is already walking away from deals on credit quality and requiring prepayments from some.

Structurally, bears worry that the next leg of the TAM is the part least suited to ANET. Mgmt itself called scale-up "a tough market for us" given lower software content, conceded EOS's full value won't show up there, and expects it to split among proprietary NVLink/UALink-style fabrics, good-enough white box and value-added Ethernet. In scale-out, NVDA's attach of Spectrum-X to its own systems and white box at the most sophisticated hyperscalers cap share, and as AI fabrics approach ~40% of revenue a heavier hyperscaler mix pushes GM toward the 62% floor while memory and silicon costs keep rising.

从结构上看，空头担心 TAM 的下一阶段是最不适合 ANET 的部分。管理层自己将 scale-up 称为"对我们而言是一个艰难的市场"，理由是软件含量较低，并承认 EOS 的全部价值不会在那里体现，同时预计市场将分流至专有的 NVLink/UALink 类架构、够用的白盒交换机以及增值以太网。在 scale-out 方面，NVDA 将 Spectrum-X 挂载到其自有系统以及最成熟超大规模云服务商的白盒交换机上，从而限制了市场份额；随着 AI 架构接近营收的 ~40%，更重的超大规模云服务商组合将毛利率推向 62% 的下限，而内存和芯片成本却持续上升。

This quarter gave bears real material. Deferred revenue stalled for the first time in

roughly three years, product deferred fell $86M and implied bookings dipped q/q; the promise that YE deferred beats FY25's $5.37B still allows a ~$1.5B Q4 drawdown, and mgmt would not size how much of the Q3 beat was acceptance timing. FCF missed by ~$270M on a ~$675M inventory build, R&D jumped 47% q/q, and the >10GW turned out to include existing capacity. Most importantly, mgmt told investors not to read conservatism into the guide, which undercuts the 10-20% beat built into bull numbers, and the ~11% implied core growth may simply be front-end digestion as hyperscalers favor back-end spend. The harder problem is 2028: AI fabrics will have doubled, scale-up arrives in a market ANET admits is tougher for it, and any slowdown in hyperscaler or neocloud financing would hit orders with only two quarters of visibility. In that world CY28 estimates fall, GM settles at the floor and the multiple compresses toward hardware peers as investors price peak-cycle AI networking.

ALAB -6%: Big Beat-and-Raise, but With the Initial Scorpio X Ramp Mostly Done, 2027 Rides on New Customers. A smaller beat than usual, and guide only reached the bottom of the bogeys.

3Q revenue beat the guide midpoint by 6.3%, vs. 9% in 2Q and a ~9% average since the IPO, leaving it $5-15M short of the ~$590-600M bogeys. The 4Q guide ($740M at the mid) only matched the bottom of the ~$740-760M bogeys, and higher opex (up $35M q/q) keeps the EPS guide ($1.64 mid) short of the ~$1.70-1.78 bogeys. O

三季度营收超出指引中值 6.3%，而二季度为 9%，自 IPO 以来的平均值为 ~9%，这使得其实际值距~$590-600M 的目标位还差$5-15M。四季度指引（中值$740M）仅符合~$740-760M 目标区间的下限，且较高的运营支出（环比增加$35M）使得 EPS 指引（中值$1.64）未达~$1.70-1.78 的目标位。O

Positioning had come down a lot (-35% since the August pre-print close); it's lower this morning with AI hardware fading on the election news. The main debate here is 2027. Mgmt said the initial Scorpio X platforms have largely finished their deployment ramps, declined to comment on a possible 1H27 pause at the lead customer, and placed new X customers and the four new growth vectors (NPO optics, Leo, Orion, custom) mostly from mid-2027 into 2028. n the call, asked if Scorpio X could plateau, the CFO said the first X platforms "have completed much of their initial deployment ramps".

仓位已大幅下降（自 8 月预收盘以来下跌 35%）；今早因选举消息导致 AI 硬件走弱，仓位进一步降低。这里的主要争论点在于 2027 年。管理层表示，首批 Scorpio X 平台的部署爬坡已基本完成，拒绝对主要客户可能在 2027 年上半年出现的暂停置评，并将新的 X 客户以及四个新的增长向量（NPO 光学、Leo、Orion、定制）主要从 2027 年中期推迟至 2028 年。在电话会议上，当被问及 Scorpio X 是否会进入平台期时，CFO 表示首批 X 平台“已基本完成其初始部署爬坡”。

Bulls will point to Scorpio already at a $1B+ run rate and content per XPU that “can exceed $1,000”, with “a path to doubling” it each generation & OM expanding 560bps q/q to 44.7% on a ~56% incremental margin, even as GM slipped ~130bps to 72.4%B. Bears will lean on the ~$3.4-3.6B 2027 bogeys, which need ~$850-900M a quarter vs. the $740M 4Q guide at the midpoint.

多头会指出，Scorpio 的营收运转率已超 10 亿美元，每 XPU 的内容“可超过 1,000 美元”，且每代都有“翻倍路径”，同时 OM 环比扩大 560 个基点至 44.7%，对应 ~56% 的增量利润率，即便 GM 下滑了 ~130 个基点至 72.4%B。空头则会依赖 ~$3.4-3.6B 的 2027 年目标，这需要每季度达到 ~$850-900M，而相比之下第四季度的中位数指引仅为 7.4 亿美元。

Key Takeaways

- **Demand.** Mgmt said AI infrastructure demand continues to strengthen, citing hyperscalers’ strong AI-services revenue. Wafer capacity, grid power and memory supply stay tight, which mgmt argues puts a premium on fabrics that lift utilization as workloads shift to inference. The Q4 guide (+27% q/q) is broad-based across Scorpio X and P, Aries on PCIe Gen 6 and Taurus 800G, and design-in activity accelerated at new and existing customers. FY26 now tracks ~$2.03B (+138% y/y) vs. ~$1.2B Street at the start of the year.

  需求。管理层表示，AI 基础设施需求持续增强，并指出超大规模厂商的 AI 服务营收强劲。晶圆产能、电网电力和内存供应依然紧张，管理层认为，随着工作负载向推理转移，这使得能够提升利用率的架构更具溢价优势。Q4 指引（环比+27%）在 Scorpio X 和 P、基于 PCIe Gen 6 的 Aries 以及 Taurus 800G 中全面增长，且新老客户的设计导入活动均有所加速。FY26 目前追踪~$20.3 亿（同比+138%），而年初时华尔街预期为~$12 亿。

- **Cadence.** The key nuance of the night: mgmt said the initial X platforms have largely completed their deployment ramps and will keep contributing at that scale. Growth from here comes from new platforms and customers layering in through

2027. Asked whether the lead customer's current-gen builds peak in 1Q27 with next-gen closer to 2028, the CFO declined to comment on end-customer volumes. New Street models mostly embed ~2–7% q/q growth in 1Q27, after +49% and +27% in Q3 and Q4, making the February Q1 guide the next focus for bulls.

节奏。今晚的关键细微差别：管理层表示，最初的 X 平台已基本完成其部署爬坡，并将继续按此规模贡献增量。此后的增长将来自新平台和客户在 2027 年前的陆续加入。当被问及主要客户的当前代产品构建是否在 1Q27 达峰，而下一代产品更接近 2028 年时，CFO 拒绝对终端客户销量置评。New Street 的模型主要嵌入 1Q27 ~2–7% 的环比增长，在 Q3 和 Q4 分别增长 +49% 和 +27% 之后，这使得 2 月份的 Q1 指引成为多头关注的下一个焦点。

- **Callback.** The most important takeaways were on protocols and pricing.
  - Protocols: ~70% of a fabric device's value sits in upper-layer hardware and software (in-network compute, virtual networks at scale) that is portable across protocols, with ~30% tied to the physical layer. Customers are building their operating systems around ALAB's implementation, which is mgmt's core answer to protocol risk. ALAB is working actively on UALink with large hyperscalers, and mgmt noted AMZN has publicly discussed a transition to UALink. ALAB will deliver Ethernet scale-up if customers ask and the economics work, having hired engineers with decades of Ethernet experience.

    协议：~70% 的结构设备价值在于可跨协议移植的上层硬件和软件（网络内计算、大规模虚拟网络），而 ~30% 与物理层相关。客户正围绕 ALAB 的实现构建其操作系统，这是管理层对协议风险的核心回应。ALAB 正与大型超大规模云服务商积极合作推进 UALink，管理层指出 AMZN 已公开讨论向 UALink 的过渡。如果客户提出需求且经济性可行，ALAB 将提供以太网扩展方案，并已聘用了拥有数十年以太网经验的工程师。

  - Pricing: Larger fabric devices carry higher ASPs but also higher cost, so fabric margins won't scale with size and should straddle the corporate level. Mgmt is willing to give up some margin to lock in strategic customers in what it calls a greenfield market.

    定价：更大的 fabric 设备拥有更高的平均售价（ASP），但成本也更高，因此 fabric 的利润率不会随规模扩大而提升，应与公司整体水平相当。管理层愿意牺牲部分利润，以锁定其称之为绿地市场的战略客户。

  - Orion: Reception since OCP exceeded expectations. COSMOS will become its own line item for rack-level products. Neoclouds and sovereigns are

secondary targets, given NVDA's own racks and financing.

Orion：自 OCP 以来的反响超出了预期。COSMOS 将成为机架级产品的独立项目。鉴于 NVDA 自有的机架和融资，Neoclouds 和主权云是次要目标。

- **Margins.** Non-GAAP GM of 72.4% beat the ~72% guide but fell ~130bps q/q and ~400bps y/y on Scorpio and hardware mix. Q4 is guided to ~72%, vs. a long-term target of ~70%. Operating leverage did the heavy lifting: OM rose 560bps q/q to 44.7% on ~56% incremental margins and is guided to ~45% in Q4. Mgmt expects Orion to be accretive given its software and royalty streams.
- **Opex.** Opex of $162M (+19% q/q) ran above the $156–160M guide. Q4 is guided to $194–200M (+~22% q/q, ~$12M above Street), as headcount has doubled y/y, alongside wafer, mask and IP spend and higher variable comp. Mgmt framed long-term opex at ~30% of revenue vs. ~27% implied in Q4, a reminder that leverage narrows if growth slows.
- **Scorpio.** Scorpio was the largest product family in Q3 at a >$1B annualized run rate (~45–48% of revenue on Street estimates). X revenue crossed above P as the lead hyperscaler (AMZN) ramped to volume. X shipped to two customers across multiple platforms, out of 10+ engagements:

Scorpio。Scorpio 是第三季度最大的产品系列，年化运行率超过 10 亿美元（按市场预期，约占营收的 45–48%）。随着领先的超大规模云服务商（AMZN）放量，X 的营收超过了 P。X 在 10 多个合作项目中，已向两个客户的多平台出货：

  - The second hyperscaler is in pre-production, with revenue in 2027.

    第二家超大规模云服务商处于预生产阶段，营收将于 2027 年体现。

  - Multiple additional customers placed Q4 orders that qualify in 1H27 and contribute in 2H27.

    多家额外客户下达了第四季度订单，这些订单在 2027 年上半年符合资格，并在 2027 年下半年贡献营收。

  - Existing customers are adding X to new platforms.

    现有客户正在将 X 添加到新平台。

P grew double digits q/q, is shipping to two US hyperscalers and should grow at a similar rate in Q4, but mgmt said X's higher ASPs make it the dominant 2027 driver. Both August milestones landed: Scorpio as the largest family in Q3, and X

at additional customers by year-end.

> **P 环比实现两位数增长，已向两家美国超大规模云服务商出货，预计 Q4 将以类似速度增长，但管理层表示 X 更高的平均售价使其成为 2027 年的主要驱动力。8 月的两个里程碑均已达成：Scorpio 成为 Q3 最大的产品系列，X 在年底前拓展至更多客户。**

- **Concentration.** Still the main overhang. The largest end customer is estimated at ~60% of sales and the top four at ~82% as of Q2; in that quarter the top three direct customers were 29%, 25% and 15% of revenue. Non-cash contra-revenue from the AMZN warrant (tied to up to $6.5B of potential purchases) rose to ~$18M from ~$10M in Q2, consistent with AMZN buying still climbing. Mgmt said revenue diversified across more customers and platforms in Q3. But new X customers don't reach revenue until 2H27, so concentration stays elevated through 1H27.
- **Content.** Highly loaded systems already carry >$1,000 of ALAB content per XPU across fabric and copper signal conditioning. Next-gen fabric products alone should add well over $1,000 per XPU, which mgmt called the first doubling. Optics, Leo, larger clusters and higher data rates then underpin a path to doubling content with each successive XPU generation; the COO framed it as more than doubling. Last quarter mgmt targeted several thousand dollars per XPU without a cadence; this quarter it attached one.Bull Case

Bull vs Bear Debate

Bulls see ALAB as the neutral connectivity layer of the AI rack. Its dollar content compounds faster than accelerator units, because every step up in cluster size, lane count and data rate adds switches, retimers, AECs, memory controllers and, from late 2027, optics. Highly loaded systems are already above $1,000 per XPU, and mgmt has laid out a path to roughly double content each XPU generation. On that path ALAB can outgrow the accelerator market without heroic share assumptions.

The moat, in the bull view, is the system rather than the chip. Scorpio X's 320-lane radix enables flat, low-hop topologies. Hypercast and in-network compute offload collectives at up to 2x the performance. COSMOS now spans device diagnostics through fabric and rack management, which embeds ALAB in how customers run their clusters. In a fragmented accelerator market spanning custom ASICs, AMD and NVLink Fusion, a merchant, protocol-agnostic fabric vendor is structurally advantaged. Tight wafers, power and memory also raise the value of anything that lifts utilization and tokens per dollar of capex.

This quarter checked the boxes bulls needed: X overtook P one quarter after entering volume, Scorpio crossed a $1B run rate, A second hyperscaler is shipping, and multiple new customers placed Q4 orders, &Aries set another record, despite fears that switching would cannibalize retimers.

本季度满足了多头所需的所有条件：X 在进入量产一个季度后超越了 P，Scorpio 的年化营收突破 10 亿美元，第二家超大规模云服务商开始出货，多家新客户下达了第四季度订单，Aries 再创纪录，尽管市场曾担心切换会蚕食 retimers 的销量。

Operating leverage was striking at ~56% incremental OM. FY26 revenue is tracking ~$2.03B vs. ~$1.2B Street at the start of the year, a reminder that estimates on this name have been structurally too low. From here, 2H27 layers in new X customers, NPO optics at hundreds of dollars per accelerator, Leo in volume and Orion at ~$100K per rack, with custom silicon adding in 2028. Most new Street models assume only ~2–7% q/q growth in 1Q27. A firmer 1H27 or a faster second-hyperscaler ramp would push CY27 well above ~$3.5B. On valuation, the stock is ~53% off its high at ~32x CY27 Street EPS, far below its ~71x post-IPO median NTM multiple. Visible diversification would shrink the concentration discount.

DUOL +15%: DAUs Accelerate to +29% With 4Q Guided Similar and Bookings Inflect; Debate Moves to 2027 Monetization

Some fast money had got long the stock going in, but still a pretty big underweight with LOs so bulls will like that users are back, and bookings are starting to follow. More than enough for a stock that has been down for 4 straight quarters after prints. DAUs grew 29% in 3Q, a second straight acceleration, and von Ahn sees about the same pace in 4Q, ahead of the ~27% bogey. Bookings picked up to +12%, but the 4Q guide ($382M) only matched the bottom of the ~$382-386M bogeys. Max, the pricier tier they're shutting down, was the big worry going in. It's only "single digits" of bookings and paid subs, and von Ahn calls the short-term effect "slightly positive". Falling AI costs are lifting GMs and cheaper AI is making it all possible: Video Call, Max's main feature, went from ~$0.30 a call to "well under $0.01" on open-weight models, so it now comes with Super. Bulls will argue this should go back to mid-teens EBITDA multiple if bookings can grow in the 20s in 2028.

The nits: paid subs slowed to +14%, the 4Q bookings guide only matched the low end of buyside hopes, paid subs slowed for an 11th straight q (CFO says growth bottoms in a couple quarters) and EBITDA margins are down ~400bp y/y.

Details

- **DAUs:** 64.9M, +29% y/y (last q +23% y/y) vs. Street ~62.1M, +~23%; buyside ~64M
- **Bookings:** $316.1M, +12% y/y (last q +8% y/y) vs. Street $308.6M, +~9.5%; buyside $311–315M
- **Revenue:** $309.0M, +14% y/y (last q +18% y/y) vs. Street $303.2M, +~11.6%
- **Adj. EBITDA:** $78.7M (25.5% margin) vs. Street $76.0M (25.1%)
- **4Q Bookings Guide:** $382M, +13% y/y (+14% cc) vs. Street $379.8M, +~12.8%; buyside $382–386M
- **4Q DAU Guide:** “similar to Q3” (~+29%) vs. buyside 27%+

Key Takeaways

- **Monetization.** This is the biggest change in tone. Last quarter mgmt described focusing “a little more” on monetization over time and pushed back on a hard pivot. Now Luis says monetization joins user growth as a company-wide priority in 2027. The plan is far more monetization A/B tests, under a “strict guardrail” against degrading the free experience; he called 2025’s added friction “a lesson learned.” Named levers:
  - longer free trials (still offered to only some users)
  - more Video Call marketing now that it sits in the cheaper Super tier
  - avatar collection events (Junior’s Toy Hunt was one of DUOL’s biggest experiment wins for lesson completion and opens a path to more IAP)
  - Chess (10M DAUs vs. ~7M at YE25, and “completely under-monetized”)
  - higher-quality ads

  Two levers look weaker. Super Lite tests “have not been home runs,” and Lite may end up only in lower-GDP regions. Direct payments outside the app stores aren’t expected to be “a major driver” next year. On conversion rates, mgmt would only promise “some increase.”

- **DAUs.** 64.9M, +29% y/y (last q +23%, 1Q +21%) vs. Street ~62.1M (+~23%) and the ~64M (+26.5–27.5%) buyside bogey. That also beat the +27.4% DUOL accidentally disclosed in mid-August. So growth kept building after the June Streak Revival rolled off, which answers the main “one-time event” pushback. It was broad: DAUs accelerated in 8 of the 10 largest countries, MAUs grew +13% (last q +10%) to 153.1M vs. Street ~148M, and DAU/MAU reached 42.4% (41.7%

last q, 37.3% a year ago). Mgmt credits the “vast majority” to better retention from product improvements. CURR (current-user retention rate) “keeps increasing,” but mgmt declined to give a number after last quarter’s all-time-high callout. The Brawl Stars and Eggy Party tie-ins brought “millions of new and returning users.” No money changed hands, those users retain well, and the tie-ins also helped paid marketing. Mgmt expects only a couple of these a year, and most 2027 events will be DUOL’s own.
4Q is guided “similar to Q3,” implying ~68M vs. Street ~65M and the 27%+ bogey. That level also triggers the company-wide DAU bonus.

- **AI costs.** GM of 72.9% (+40bp y/y) beat the 71% guide and Street, and non-GAAP GM hit a record 73.8% on lower AI-feature and hosting costs. Mgmt said cost per DAU is falling “quite significantly” as more work moves to open-weight models. Most AI inference runs through outside providers, with some in-house testing. FY26 GM is now tracking ~72.6% vs. the 69% initial guide, even with Video Call going to all Super subs by year-end. The per-call Video Call savings (~$0.30 to well under $0.01) were disclosed last quarter. What’s new is that the cost is falling per DAU, and a plan to spend “single-digit millions” on live AI inference for free users in 2027. 4Q GM is guided to 72.0% (-90bp q/q). There’s no 2027 GM guide, and mgmt’s “very high” appetite for AI features means some savings will be reinvested.
- **Bookings.** $316.1M, +12% y/y (last q +8%) vs. Street $308.6M (+~9.5%), the $311–315M bogey and the ~$307M guide. This is the first acceleration after four straight quarters of slowing growth. Subscriptions led: subscription bookings grew +16% (last q +10%) vs. Street ~$265M (+~10.5%), with double-digit growth in most regions. Non-subscription was the weak spot. Other bookings fell ~9% y/y, with IAP revenue -38% ($6.9M) and ads -1% ($20.8M). Mgmt called ads “flattish” for the quarter but said they “exited the quarter growing nicely.” A new direct sales team is moving inventory from ad networks to higher-quality brands.
- **Subs lag.** Paid subs were 13.1M, +14% y/y (last q +16.5%, YE25 +28%) vs. Street 13.2M, on ~0.4M net adds (~0.6M a year ago). Subs as a share of DAUs slipped to ~20% (~22% last q). Mgmt called it mechanical: subs “largely follow the revenue,” so subs growth “probably… bottoms in a couple quarters” as faster bookings flow through. Longer free trials also push out conversion. Subscription bookings (+16%) are growing faster than subs (+14%), so revenue per sub is holding up.
- **Max sunset.** Now official; last quarter it was one option. DUOL stops selling Max this month, moves Max Individual subs to Super Family at the same price, and will deal with Max Family subs in 2027. Max is a single-digit % of both subs and

bookings, and A/B tests showed the change is “slightly positive” for bookings near term. Moving Video Call into Super puts it in front of ~10x more payers. The bookings effect is “minimal” and is in the 4Q guide. The risks:

  - family-plan sharing replaces some individual subs (mgmt isn’t seeing this in tests)
  - Max subs drop to individual Super when they renew
  - existing Super Family subs churn as that plan’s price rises (~$144 to ~$168/yr)

- **Margins.** Adj. EBITDA was $78.7M (25.5%, -400bp y/y) vs. Street $76.0M and the ~$76M guide, despite the $11.4M DAU-bonus accrual that wasn’t in guidance. Excluding the bonus it was ~$90M (29.2%). Non-GAAP opex grew 25% y/y, led by R&D +33% (~14% above Street) as experimentation scales. GAAP operating margin fell to 7.8% (12.9% a year ago), and GAAP EPS of $0.54 missed Street’s $0.57. The 4Q EBITDA guide ($84M, 26.1%, roughly flat y/y) absorbs the rest of the bonus (a mid-single-digit $M amount) plus some expenses that slipped from 3Q. So part of the 3Q beat was timing, and opex will again grow faster than revenue. FY26 EBITDA of $323M now includes the full bonus, so on a like-for-like basis the raise is closer to ~$20M than the $3M headline.
- **Marketing.** For the first time mgmt sized paid marketing: ~60% of non-comp marketing spend (“a bit over $100 million”). It’s profitable, with room to improve LTV/CAC (lifetime value vs. cost to acquire). Luis called getting “intelligent about performance marketing” one of the year’s biggest internal wins. It should add to growth again in 2027, but it’s “probably never going to be the majority” of how DUOL goes to market. Newly acquired users convert to paid “at a multiple” of the rate of the existing base.
- **Competition.** Asked about frontier AI models and one-on-one tutoring (Meta’s recent avatar launch came up), Luis said DUOL is now “better than a classroom” but not yet as good as a human tutor. He expects to match one “over the next few years” while staying game-like, because people dropping off is the main way learning fails. He also cited DUOL’s scale of learning data as its edge.

Bull vs. Bear Case

Bulls see DUOL as the defining consumer learning platform, with a moat that grows with scale. It has ~65M DAUs and 150M+ MAUs. Its testing engine turns hundreds of weekly A/B tests into retention gains. Its brand is strong enough that big game publishers now run free cross-promotions with it, and in mgmt’s words it has more data on how people learn than anyone else. The long-term growth drivers:

- a user base that is still early, with 100M DAUs targeted for 2028, an ambition of one billion learners, and China expected to become the largest DAU market
- higher conversion and revenue per user as Video Call moves into Super, free trials get longer and family plans (which retain very well) grow
- new revenue that doesn't add friction: collection-event IAP, Chess at 10M DAUs, and a rebuilt ads business with direct sales
- new subjects that AI lets DUOL ship faster

Bulls argue AI helps DUOL more than it threatens it. It is collapsing the cost to serve: Video Call fell from ~$0.30 to well under $0.01 per call, and cost per DAU is down "quite significantly." That lets DUOL give tutor-like features to ~10x more payers while GM rises instead of falling. AI is also speeding up product work, with experiments +90% y/y on +10% headcount. And the real constraint in learning is motivation and habit, not content. As Luis put it, most people don't want a one-on-one tutor even when it's free, so DUOL's game mechanics and streaks are the lasting advantage.

This quarter delivered the evidence bulls were waiting for. DAU growth accelerated again, held up after the Streak Revival rolled off, spread to 8 of the top 10 countries and is guided to ~29% in 4Q. Bookings inflected (+12%, subscriptions +16%) before DUOL has really pushed monetization, and GM beat by ~2pts. Bulls point to 2024, when 50%+ DAU growth came with ~40% bookings growth as new users converted over time. Because users monetize with a lag, they argue today's +29% DAU growth sets up 2027 bookings growth well above the Street's ~13–14%. Monetization is now a company-level goal, and 2027 test volume is set to be "multiples" of 2026. Estimates can move higher if paid subs growth bottoms in 1H27 and re-accelerates, if ads and IAP return to growth, and if operating leverage returns as the one-time bonus drops out and R&D growth slows from +33%. The multiple can expand as confidence builds in high-teens bookings growth and mid-20s EBITDA growth.
At ~15–16x Street 2027 EBITDA after hours, DUOL trades far below its ~37x three-year median and ~45–50% below its 52-week high.

Bears argue DUOL fixed user growth by giving up the monetization engine behind its last three years. Bookings growth has fallen from ~40% in 2024 and ~33% in 2025 to ~12% in 2026. Mgmt has now ruled out friction-based monetization (limits and upsell pressure on free users) with a "strict guardrail" on the free experience. What's left are small or unproven levers:

- IAP was $6.9M of revenue in 3Q and fell 38% y/y; ads ($20.8M) were down 1%
- Super Lite tests “have not been home runs,” and direct payments aren’t a major driver
- Chess isn’t monetized yet, and Math is only growing at the pace of languages

The structural risk is AI. Frontier models and big-tech entrants (Google Translate’s practice mode, ChatGPT voice, Meta’s avatar push) are turning conversation practice into something free. Mgmt’s own point that open-weight models are “about as good” as frontier models cuts both ways, because it lowers the cost for anyone to build a decent AI tutor. Bears also see fragile engagement as attention spans shrink; mgmt has staffed teams on how often users come back but hasn’t shared results. They put annual retention at only ~40–45%, and note that a brand-led growth model showed in 2025 how fast sentiment and DAUs can turn.

This quarter gave bears new evidence. Paid subs kept slowing to +14% (from +28% at YE25), subs as a share of DAUs slipped to ~20%, and net adds (~0.4M) were below last year’s (~0.6M) despite 29% DAU growth. Bears read that as the new users being lower-intent: gamers coming for Brawl Stars rewards, returning streakers, and lower-revenue Asian markets. The 4Q bookings guide only matched the low end of the buyside bogey even as DAUs blew through theirs, so the DAU-to-bookings conversion bulls are counting on isn’t in the guide yet. Profitability is moving the wrong way: adj. EBITDA margin is down ~400bp y/y in 3Q and ~370bp in 4Q

BKNG +3%: Strong 3Q and “Healthy” 1H27 Books Offset a 4Q Guide-Down Driven by Geopolitics and an Investment Step-Up

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3Q was the best print of the year: RN accelerated to +6.7% (2Q +5.3%) as Europe and Asia rebounded to HSD, with flights +19%, alt accommodations +7% and Connected Trip ~+20%, though only ~$117M of the ~$250M adj. revenue beat reached EBITDA. On the flip side, Q4 missed every bogey: +1-3% vs. ~3-5%, gross bookings +2-4% vs. ~4-6%, and EBITDA about flat (~$2.20B) vs. ~$2.35-2.39B. The 4Q guide bakes in late-September and October softness from the Middle East conflict, elevated airfares and unrest in European cities, ~2pts of FX and a planned step-up in AI, tech-infrastructure and non-accommodation spend; it is the third straight below-Street guide, and the 2-yr RN stack slows ~4pts. CFO blamed it on the toughest comparison of the year, but to be fair that comp was only 80bps tougher.

Cushioning it: mgmt called 1H27 on-the-books “healthy,” nudged the FY26 cc revenue guide up to HSD, gave its first hard AI KPIs (AI-assistant users convert ~2x) and said LLM referrals remain significantly <1% of RNs. Bulls will say the typical beat gets you MSD room nights growth in Q4

Positioning leaned short from HFs coming in on agentic-AI and geopolitical worries. This won’t change debate the debate much either way, but probably good enough given where sentiment/positioning is.

Key Takeaways

- **Guide.** The 4Q outlook came in well below the Street: RN +1–3% vs. ~+6%, GB +2–4% (+4–6% cc) vs. ~+7%, adj. revenue +0–2% (+2–4% cc) vs. ~+7% and adj. EBITDA ~flat vs. ~+10%. Mgmt pointed to the toughest comp of the year (4Q25 RN +9%), October disruption to and from the Middle East, elevated airfares, localized unrest in European cities and ~2pts of FX, and assumes all of it persists through year-end. Comps don’t explain it all: the 2-yr RN stack slows from ~15% in 3Q to ~11% at the midpoint. It is the third straight below-Street guide, but FY26 was held (HSD GB, adj. revenue and adj. EBITDA; low-to-mid-teens adj. EPS), with cc adj. revenue nudged up to HSD from mid-to-high single digits.
- **Demand.** 3Q held up until late September. RN growth accelerated to +6.7% (2Q +5.3%) as Europe and Asia both improved to HSD from MSD (Asia domestic LDD), RoW held at MSD and the U.S. slowed to MSD (HSD in 2Q, low-teens in 1Q) on tough comps, with the U.S. booking window contracting modestly. Domestic RNs grew HSD vs. MSD for international, cc ADRs rose ~3% (2Q ~+2%) led by Europe, and the global booking window lengthened slightly after contracting in 2Q. International demand then softened into quarter-end, while domestic is holding as travelers take shorter trips closer to home. One Street estimate pegs October RN growth at ~3.5% (vs. ~7% in August); if right, the 2% midpoint implies November–December slowing further, or a padded guide.
- **Callback.** Mgmt’s post-call message was that near-term weakness has no bearing on BKNG’s 2027 potential, with “healthy” 1H27 on-the-books speaking to the durability of the 8/8/15 algo. The Middle East and European unrest are hard to separate, but combined they account for “a few points” of 4Q pressure, and mgmt attributed the U.S. deceleration to tough comps.
- **2027.** No 2027 guide until February, but the CFO called 1H27 on-the-books “healthy” (early, and subject to cancellations), and comps ease from March as the Middle East hit laps. Mgmt reiterated the long-term algo (≥8% cc GB and adj.

revenue growth, ≥15% adj. EPS growth) and said it is “too early” to tell whether AI efficiencies change it. The setup to watch: the Street sits at ~6–7% RN growth and ~$12.35 of adj. EPS (+~19%) for FY27, off a ~2% 4Q exit rate.

- **AI.** Mgmt put numbers on its own AI products for the first time, after not quantifying Penny’s conversion lift when asked in 2Q. Booking.com’s daily AI search visitors rose 10x q/q, Priceline Penny and Agoda AI Assistant users convert at ~2x non-users, Agoda AI Assistant users book ~20% higher values, and OpenTable’s OpenAI integration seated 190K covers in September. LLM referrals accelerated in recent weeks (organic traffic rose as newer ChatGPT models improved citation rates, and paid OpenAI tests are expanding to more markets) but remain significantly <1% of Booking.com RNs, about where they were in 2Q, and no agent, Muse and Grok included, is outgrowing the others. BKNG launched two AI-native test beds (Vayo, a proactive AI travel agent that pulls reservations from email, and Lola, a membership-based concierge); Agoda is a Muse launch partner in Asia and OpenTable is Muse’s first dining partner.
  Mgmt’s core argument is that agents prefer aggregators because connecting directly to 4.7M properties with live pricing and availability is expensive, and that a more fragmented front door lowers acquisition costs.

- **Margins.** The adj. EBITDA margin was 47.0%, ~flat y/y and in line with the Street, as marketing ran ~$98M above the Street with B2B affiliate commissions rising alongside partner revenue. Adj. fixed opex grew 6% with personnel ~flat, but IT expense rose 25% y/y (Street ~+14%) as cloud and AI spend scales. AI is already cutting costs: customer-service costs fell in absolute terms despite higher volumes (2Q cited only per-booking declines), cost per merge request fell double digits, Agoda’s blended cost per million tokens dropped >25% from June to September (helped by price caps and routing simpler tasks to cheaper models), and headcount has barely grown in two years, mostly in India. The 4Q EBITDA guide absorbs a planned investment step-up in flights, attractions, dining, AI and tech infrastructure (Street math: ~$75–85M), partly offset by marketing leverage. FY margin is guided “stable,” the $650M transformation run-rate is on track for 2027, and the CFO pointedly noted BKNG’s EBITDA is fully loaded for SBC.

- **Take Rate.** Adj. revenue/GB fell ~15bps y/y to ~18.0% on a higher flight mix and

booking-vs.-travel timing, partly offset by payments revenue as merchant rose to ~75% of GB (+3pts); agency revenue fell 4% while merchant grew 14%. The 4Q guide (GB +2–4% vs. adj. revenue +0–2%) implies ~30bps of compression, roughly double 3Q's, on the same drivers.

- **Marketing.** Marketing grew 11% vs. GB +10% (4.8% of GB vs. 4.7%), with deleverage from faster-growing B2B affiliate commissions; B2C levered on higher paid-channel ROIs and more direct traffic, and mgmt expects marketing leverage again in 4Q. SEO wasn't cited as a headwind after mgmt first flagged SEO pressure in 2Q, and there has been no measurable benefit yet from DMA-driven changes to Google's European search results. The three brands' B2B units become one business on January 1, and mgmt will "most likely" break out its numbers, which should separate productive rev-share from B2C acquisition efficiency.
- **Supply.** Mgmt leaned on the long tail: the 10 largest hotel chains are only a low-DD % of Booking.com RNs, and BKNG pitches itself as the pay-on-performance way small partners show up in LLMs and agents. Alt accommodation RNs re-accelerated to +7% (2Q +4%), with listings +9% and ~37% of RNs (+1pt y/y), though growth still trails ABNB by a wide margin. Engagement keeps deepening: Genius L2/L3 members are >30% of actives and a high-50s % of RNs, app mix is high-50s % (mid-50s a year ago), B2C direct mix is steady in the mid-60s, and Connected Trip transactions grew almost 20% (LDD in 2Q) on flights +19% (2Q +4%) and attractions +24%.
- **Regulatory.** 3Q absorbed a ~$1B FTC charge ($900M revenue reduction plus a $100M accrued loss in G&A), excluded from adjusted results and never raised on the call. FTC staff told Priceline in July they would recommend a complaint against Priceline and a B2B affiliate partner over disclosures, fees, customer support and billing practices; talks continue, no settlement is agreed and litigation remains possible. BKNG also disclosed that the EC opened a DSA investigation in October into Booking.com's platform disclosures and security, which could bring significant fines and forced changes to business practices.
- **Capital Return.** FCF was $1.07B (-22% y/y) on a $3.6B seasonal unwind of deferred merchant bookings; YTD FCF of $7.8B is +2%. BKNG repurchased $2.1B in 3Q and $9.5B YTD ($10.5B returned including dividends, above YTD FCF), with $12.4B left on the authorization. A 7.5% lower diluted share count turned +9% EBITDA growth into +17% EPS growth; cash and investments ended at $16.2B against ~$20B of debt.

Bull vs. Bear Debate

Bulls see BKNG as the scaled, most profitable accommodation marketplace in global travel, and argue its moat is exactly what an agentic world needs. Booking.com aggregates ~4.7M properties, overwhelmingly independents and alternative accommodations (the 10 largest chains are only a low-DD % of RNs). It wraps that supply in payments (100+ methods, 50+ currencies), customer service in 40+ languages, on-the-ground partner teams and a Genius program that now drives a high-50s % of RNs. An agent can't cheaply rebuild that, so in the bull view horizontal agents become another distribution channel that plugs into aggregators, and a more fragmented front door dilutes Google's toll and lowers acquisition costs. The long-term drivers are share gains in the U.S.
(outgrowing the market three years running) and Asia (Agoda), alternative accommodations, Connected Trip (flights, attractions and dining layered on the core) and the payments and merchant mix shift (~75% of GB). Bulls think those can sustain ~8% top-line growth and mid-teens EPS growth for years, with a ~8–9% FCF yield retiring ~7% of the share count annually.

This quarter gave bulls their best evidence yet. Nearly every volume indicator accelerated despite the Middle East: RNs, alternative accommodations, flights, Connected Trip, Europe and Asia. Mgmt published its first AI scorecard (~2x conversion for AI-assistant users, ~20% higher booking values, absolute customer-service cost declines on rising volumes). B2C marketing levered with SEO no longer flagged, and LLM referrals are growing but tiny, with BKNG capturing "the vast majority" of that traffic per third-party data. On the bull read, the 4Q guide is event-driven and padded: the geopolitical hit is "a few points," BKNG has cleared the top of its RN guide in recent quarters, and 1H27 books are "healthy" with easy comps from March. Estimates can move up if RN growth rebounds to ~7% by mid-2027, the $650M transformation run-rate and AI opex savings reach margins, and the new B2B disclosure shows the marketing deleverage is productive rev-share.
The multiple can expand if agentic channels keep proving incremental (OpenTable's 190K covers, Agoda on Muse) and if EU regulation slows horizontal agents in BKNG's biggest market.
At ~12.6x Street CY27 EPS vs. a ~18.5x 10-year average forward P/E, bulls argue the stock already prices in disintermediation that the numbers don't show.

Bears argue BKNG's economics (a ~14.5% take rate and ~37% EBITDA margins) are rent on owning travel intent, and that agentic AI is the first credible threat to that position since Google. If Google, OpenAI, Meta or Amazon agents own discovery and